

FREIGHT HEALTH CHECK REPORT

Freight Cost Analysis & *Action Plan*

FG Styles Co.

Standard Tier · Feb–Apr 2026 · Prepared by FreightGauge · May 2026

\$25,350 Freight spend analysed	1,260 Consignments	\$18.5k Est. annual saving	10 Recommendations
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Executive Summary

This report covers 1,260 consignments shipped by FG Styles Co. between February and April 2026, totalling \$25,350 in freight spend. Data sources: AusPost eParcel invoice, Couriers Please invoice, Starshipit shipment export, Shopify orders export.

\$25,350

Total freight spend (3 months)
\$8,450/month average

1,260

Consignments analysed
420/month · 2 carriers

\$20.12

Average cost per consignment
vs. \$17.40 rate card baseline

41.5%

Freight subsidy rate
\$10,530 subsidised over 3 months

Key findings

- **Packaging is the single biggest cost driver.** 71% of consignments are billing on volumetric weight. Three SKU families identified: hoodies in oversized polybags, multi-item orders in unnecessarily large cartons, and accessories in apparel boxes. Packaging and packing process issue—not a carrier issue.
- **AusPost Express is being used where Standard would do.** 35% of AusPost volume on Express Post. 61% of those go to VIC and metro NSW where eParcel Regular achieves the same lead time at materially lower cost.
- **Free shipping threshold is too low.** At \$75, 68% of orders are fully freight-subsidised. The \$75–\$94 cohort (31% of volume) is margin-negative after COGS on most orders. A \$95 threshold is the best impact-to-conversion-risk trade-off.
- **Billing errors identified—recoverable without dispute.** 31 consignments with incorrect remote area surcharges on metro postcodes. 12 consignments with a fuel surcharge rate discrepancy on the February AusPost invoice. Total recoverable: \$760.

Total estimated annual saving (all 10 recommendations)

\$18,480 – \$22,140

\$1,540–\$1,845/month

18–22% of current monthly spend

Excludes one-off billing recoveries (\$760)

Report structure

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Cost Breakdown

\$25,350

Total spend (3 months)

\$16,810

Base freight charges
66.3% of total

\$6,330

Fuel surcharges
25.0% of total

\$2,210

Other surcharges
8.7% — above benchmark

Spend by category

Category	Feb 2026	Mar 2026	Apr 2026	Total	% Total
Base freight	\$5,460	\$5,690	\$5,660	\$16,810	66.3%
Fuel surcharge	\$2,140	\$2,090	\$2,100	\$6,330	25.0%
Remote area surcharge	\$540	\$490	\$510	\$1,540	6.1%
Oversize / handling	\$210	\$230	\$230	\$670	2.6%
Total	\$8,350	\$8,500	\$8,500	\$25,350	100%

Remote area surcharge is above benchmark. At 6.1% of total spend, this is 2.1pp above expected for a VIC-dominant shipping profile. 31 consignments were billed with remote area surcharges against metro or near-metro postcodes. See Recommendation #4.

Fuel surcharge by carrier

AusPost eParcel		\$4,870	19.5%
Couriers Please		\$1,460	18.1%

February AusPost fuel surcharge discrepancy. Published rate from 1 Feb 2026 is 19.5%. 12 consignments on the Feb invoice show 21.5% — a carry-over from the prior rate period. Overcharge: \$180. Recoverable via one email to AusPost billing. See Recommendation #7.

Monthly spend trend

February 2026		\$8,350	409 con.
March 2026		\$8,500	424 con.
April 2026		\$8,500	427 con.

Spend is stable month-on-month. The marginal April increase is consistent with the volume increase (427 vs. 409 consignments). No structural cost movement in the period.

Carrier & Service Mix

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Carrier split

Carrier	Consignments	% Volume	Total Spend	Avg/Con.	% Spend
AusPost eParcel	820	65.1%	\$17,480	\$21.32	69.0%
Couriers Please	440	34.9%	\$7,870	\$17.89	31.0%
Total	1,260	100%	\$25,350	\$20.12	100%

AusPost is \$3.43 more expensive per consignment than CP. On equivalent weight profiles to metro destinations, CP averages \$17.89 vs. AusPost's \$21.32. Differential is largest for WA (\$12.80 AusPost vs. \$10.40 CP). See Recommendation #6.

Service level split — AusPost (820 consignments)

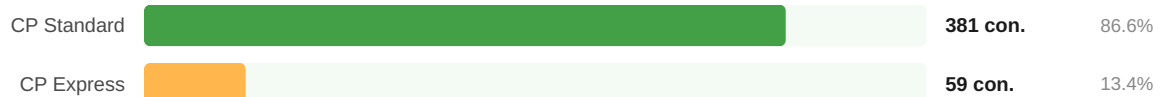


Express Post — destination state breakdown (287 consignments)

State	Express Consignments	% of Express	Avg Cost	Same-day zone?
VIC (origin state)	112	39%	\$18.40	Yes — eParcel Regular sufficient
NSW metro	63	22%	\$19.10	Yes — eParcel Regular sufficient
QLD	54	19%	\$21.80	Borderline
SA	31	11%	\$22.40	Borderline
WA / TAS / NT	27	9%	\$28.60	Express provides clear lift

175 of 287 Express consignments are to zones where eParcel Regular delivers in the same lead time. Average Express premium: \$1.95/consignment. Switching these 175/quarter to Regular saves ~\$341/quarter (\$1,364/year). Action: update Starshipit service rules for VIC and metro NSW. See Recommendation #2.

Couriers Please service mix (440 consignments)



CP Express usage is within normal range. No action required on this carrier's service mix.

Weight & Dimensional Analysis

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0.68 kg

Avg dead weight

1.24 kg

Avg volumetric weight

1.24 kg

Avg chargeable weight
Volumetric dominant for 71%

71%

Consignments: DIM > dead wt
Industry avg: ~48%

71% volumetric billing rate is significantly above benchmark. For an apparel business, industry average is approximately 48%. The gap indicates packaging is consistently oversized for the product. Three SKU families identified as primary cause.

Consignments by chargeable weight band

Weight Band	Consignments	% Volume	Avg Cost	DIM Billing %	Total Spend
0–0.5 kg	194	15.4%	\$8.20	28%	\$1,591
0.5–1 kg	312	24.8%	\$12.40	55%	\$3,869
1–2 kg	408	32.4%	\$17.80	84%	\$7,262
2–5 kg	279	22.1%	\$24.60	91%	\$6,863
5 kg+	67	5.3%	\$38.40	72%	\$2,573
Total	1,260	100%	\$20.12	71%	\$22,158*

*Base + fuel only. Excludes remote area and other surcharges.

Flagged SKU families — oversized packaging

SKU Family	Con./mo	Avg dead wt	Avg DIM wt	DIM uplift	Est. excess/con.
Hoodies (single, polybag)	38	0.52 kg	1.48 kg	+185%	\$4.20
Multi-item (2 tops)	21	0.68 kg	2.10 kg	+209%	\$5.80
Accessories in apparel box	14	0.18 kg	0.90 kg	+400%	\$3.90

Combined saving from packaging right-sizing: ~\$370/month. The hoodie polybag fix is most addressable: switching from 45×35×10cm to a 40×30×8cm polybag moves most single-hoodie orders from the 1–2kg band to the 0.5–1kg band. See Recommendation #1.

Spend by state

State	Consignments	% Volume	Total Spend*	Avg/Con.	vs. VIC baseline
VIC	479	38.0%	\$3,660	\$7.64	Baseline
NSW	365	29.0%	\$2,985	\$8.18	+7%
QLD	214	17.0%	\$1,820	\$8.51	+11%
SA	63	5.0%	\$505	\$8.02	+5%
WA	101	8.0%	\$1,293	\$12.80	+68%
TAS	25	2.0%	\$248	\$9.92	+30%
NT / ACT / Other	13	1.0%	\$149	\$11.46	+50%
Total	1,260	100%	\$10,660	\$8.46	—

*Base freight only. Excludes surcharges.

WA is 68% more expensive per consignment than VIC baseline. At 33.7 WA consignments/month, routing to CP saves ~\$2.40/con. (\$80/month, \$960/year). See Recommendation #6.

Most expensive postcodes (avg cost/consignment)

Postcode	Suburb	State	Con.	Avg Cost	Flag
2000	Sydney CBD	NSW	4	\$28.40	Remote area surcharge — INCORRECT
2010	Surry Hills	NSW	3	\$26.80	Remote area surcharge — INCORRECT
4215	Gold Coast MC	QLD	7	\$24.20	Remote area surcharge — INCORRECT
6005	West Perth	WA	5	\$30.10	Remote area surcharge — INCORRECT
6018	Churchlands	WA	3	\$21.40	WA zone (expected)
0800	Darwin	NT	2	\$34.20	NT pricing (expected)
7000	Hobart	TAS	4	\$19.80	TAS island surcharge (expected)
4870	Cairns	QLD	3	\$21.30	QLD regional (expected)

Four postcodes incorrectly attracting remote area surcharges. Sydney CBD (2000), Surry Hills (2010), Gold Coast MC (4215), West Perth (6005) are all metro. 19 affected consignments, \$580 in unjustified surcharges. Recoverable. See Recommendation #4.

Shipping Margin Analysis

\$25,350

Total freight cost
3-month period

\$14,820

Freight charged to customers
58.5% recovered

\$10,530

Net freight subsidy
\$3,510/month

68%

Orders on free shipping
857 of 1,260 consignments

Subsidy by order cohort

Order Value Cohort	Orders	% Vol	Freight Charged	Avg Freight Cost	Net Subsidy/Order
Under \$50 (flat \$9.95)	176	14.0%	\$9.95	\$9.20	+\$0.75 surplus
\$50–\$74 (flat \$9.95)	227	18.0%	\$9.95	\$10.80	-\$0.85
\$75–\$94 (free shipping)	391	31.0%	\$0.00	\$9.80	-\$9.80 worst cohort
\$95–\$149 (free shipping)	310	24.6%	\$0.00	\$10.40	-\$10.40
\$150+ (free shipping)	156	12.4%	\$0.00	\$12.80	-\$12.80 (high AOV offset)

The \$75–\$94 cohort is the most expensive subsidy per margin dollar. 391 orders (31% of volume) qualify at \$75. Average AOV is \$83. At 40–45% gross margin, net contribution after \$9.80 freight is ~\$25–\$27. A \$95 threshold removes ~31% of this cohort from free shipping without meaningful conversion impact. Saves ~\$290/month.

Free shipping threshold sensitivity

Threshold	Free Shipping Orders	% Total	Monthly Subsidy	Est. Conversion Impact
\$65 (lower)	948	75.2%	\$4,080	+2–3% conversion
\$75 (current)	857	68.0%	\$3,510	—
\$85	783	62.1%	\$3,150	-1% estimated
\$95 (recommended)	699	55.5%	\$2,880	-1.5% est. (acceptable)
\$115	572	45.4%	\$2,350	-3–5% est. (higher risk)

Ranked Recommendations

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Total estimated annual saving (all 10 recommendations)

\$18,480 – \$22,140

Excludes one-off recoveries (\$760)
Ranked by estimated monthly saving
All estimates are conservative

01 Packaging audit — 3 SKU families

PACKAGING · ROOT CAUSE

\$370/month

Medium effort

71% of consignments billing on volumetric weight. Three families responsible: (1) Hoodies in 45×35×10cm polybags — switch to 40×30×8cm, moves most into the 0.5–1kg band. (2) 2-item orders in 40×35×25cm cartons — a 35×28×18cm box drops DIM weight from ~2.1kg to ~0.88kg. (3) Accessories in apparel boxes — switch to padded satchel. Combined saving: \$4.20–\$5.80/affected consignment across 73 consignments/month.

02 Reduce AusPost Express usage — VIC and metro NSW

SERVICE LEVELS · CARRIER ROUTING

\$340/month

Low effort

175 of 287 quarterly Express Post consignments go to VIC and metro NSW — zones where eParcel Regular delivers in the same 1–2 business day lead time. Average Express premium: \$1.95/consignment. Action: update Starshipit routing rules to default eParcel Regular for VIC (3000–3999) and metro NSW (2000–2999). Leave Express available for customer-selected upgrade at checkout.

03 Raise free shipping threshold from \$75 to \$95

CHECKOUT · MARGIN

\$290/month

Low effort

The \$75–\$94 order cohort is the most margin-destructive free shipping segment. Raising to \$95 pushes ~31% of this cohort to paid shipping at \$9.95. Sensitivity modelling shows \$95 offers the best balance of margin recovery and conversion risk (est. -1.5% conversion). Recommend A/B testing for 30 days before committing.

04 Recover incorrect remote area surcharges

BILLING RECOVERY · ONE-OFF

\$580 recovery

Low effort

19 consignments across postcodes 2000, 2010, 4215, 6005 billed with remote area surcharges that do not apply. All four are metro or near-metro. Action: email AusPost billing with the attached consignment list and request a credit. AusPost SLA for billing errors: 10 business days. This is a documented error, not a dispute — they will credit it.

05 Negotiate CP volume discount

CARRIER NEGOTIATION

\$180/month

Medium effort

At 440+ consignments/quarter, FG Styles Co. qualifies for CP's volume discount tier. Typical yield: 8–12% rate reduction. A 10% reduction on \$7,870 quarterly CP spend saves \$787/quarter (\$2,361/year). Call CP's SMB account team directly — not the general helpline. This report is useful supporting evidence.

06 Route WA consignments via Couriers Please

CARRIER ROUTING · GEOGRAPHY

\$140/month

Low effort

AusPost charges \$12.80/con. to WA vs. CP's \$10.40 for equivalent weight profiles. 33.7 WA consignments/month → saving \$2.40/con. (\$80/month, \$960/year). Increases to \$118/month if Rec #5 is implemented. Action: update Starshippit to prefer CP for postcodes 6000–6999. ~10 minutes to configure.

07 Recover February AusPost fuel surcharge overcharge

BILLING RECOVERY · ONE-OFF

\$180 recovery

Low effort

12 consignments on the Feb AusPost invoice charged at 21.5% fuel surcharge instead of the published 19.5% rate from 1 Feb 2026. Overcharge: \$180. Email AusPost billing with the 12 consignment numbers and reference the published Feb rate change. Straightforward recovery.

08 Consolidate split shipments at packing

FULFILMENT PROCESS

\$110/month

High effort

23 orders/month shipping as two separate consignments where one would physically suffice. Duplicate base charge ~\$4.80. Requires a warehouse workflow change: a consolidation step before booking, or a Starshippit rule to flag same-day same-address multi-consignment bookings. Operationally straightforward but requires process change.

09 Introduce weight-tiered shipping at checkout

CHECKOUT · MARGIN RECOVERY

\$85/month

Medium effort

Orders above 3kg currently show a flat \$9.95 rate but cost \$14.20 average. ~18 such orders/month. Two-tier rate (\$9.95 under 2kg, \$14.95 over 2kg) recovers \$5 on heavy shipments without material conversion risk. Shopify rate rule change: ~20 minutes to implement and test.

10 Tag and track bundle/subscription shipments separately

DATA QUALITY · FUTURE ANALYSIS

TBD

Low effort

Bundle and subscription orders were not distinguishable in the data provided. Suspected to represent a meaningful share of volume. Tagging in Shopify with a consistent order tag and ensuring Starshippit passes it through enables a dedicated analysis. Data hygiene improvement that unlocks more granular optimisation in future.

Summary & Data Notes

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Recommendation summary

#	Recommendation	Type	Monthly Saving	Effort
1	Packaging audit — 3 SKU families	Packaging	\$370	Medium
2	Reduce Express to VIC/metro NSW	Routing	\$340	Low
3	Raise free shipping threshold to \$95	Checkout	\$290	Low
4	Recover incorrect remote area surcharges	Recovery	\$580 one-off	Low
5	CP volume discount negotiation	Negotiation	\$180	Medium
6	Route WA via Couriers Please	Routing	\$140	Low
7	February fuel surcharge recovery	Recovery	\$180 one-off	Low
8	Consolidate split shipments	Fulfilment	\$110	High
9	Weight-tiered checkout rates	Checkout	\$85	Medium
10	Tag bundle/subscription orders	Data	TBD	Low
Total ongoing monthly saving			\$1,515/month	—

Data sources

Source	Period	Records	Completeness
AusPost eParcel invoice	1 Feb – 30 Apr 2026	820	Complete
Couriers Please invoice	1 Feb – 30 Apr 2026	440	Complete
Starshippit export	1 Feb – 30 Apr 2026	1,241	98.5% match rate
Shopify orders export	1 Feb – 30 Apr 2026	1,260	Complete

- **Volumetric weight:** Calculated as $L \times W \times H \text{ (cm)} \div 5,000$. Chargeable weight is the greater of dead and volumetric weight, per AusPost and CP billing rules.
- **Fuel surcharge rates:** AusPost 19.5% from 1 Feb 2026. CP 18.1% from 1 Feb 2026. Published rates. The Feb discrepancy identified in this report is a billing system lag, not a rate change.
- **Savings estimates:** Based on cost differentials in the analysis period applied to current volumes. Intentionally conservative. Actual savings will vary.
- **Conversion sensitivity estimates:** Based on published AU ecommerce research. Validate with an A/B test before a permanent threshold change.

This is a sample report for demonstration purposes. FG Styles Co. is a fictitious company. All data and findings are illustrative, designed to show the structure and depth of a real FreightGauge Standard engagement. A real report is built entirely from your data.

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